NovaTech Solutions — Leave and Time-Off Policy

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1. Purpose

This policy defines the types of leave available to NovaTech employees, eligibility criteria, accrual mechanics, approval workflows, and rules for calculating leave balances. It is the primary reference for any automated leave-eligibility or leave-balance calculation performed by HR systems or HR assistants.

2. Leave Year

The Leave Year runs from **1 January to 31 December**. Leave does not pro-rate mid-year except for employees joining or exiting during the year (see Section 8).

3. Types of Leave and Entitlements

Leave Type	Code	Annual Entitlement (Full-Time Permanent)	Accrual Method	Carry Forward	Encashment
Earned/Privilege Leave	EL	18 days	Accrued at 1.5 days/completed month	Max 45 days	Yes, at basic pay, on exit or annually up to 10 days
Casual Leave	CL	12 days	Credited in full on 1 January	Max 5 days into Q1 next year, then lapses	No
Sick Leave	SL	10 days	Credited in full on 1 January	Max 10 days	No
Maternity Leave	ML	26 weeks (182 days)	Granted on request, per Maternity Benefit Act 1961	N/A	N/A
Paternity Leave	PL	15 calendar days	Granted on request, within 6 months of child’s birth	N/A	N/A
Bereavement Leave	BL	5 days per event	Granted on request	N/A	No
Marriage Leave	MRL	5 days, once per employment	Granted on request	N/A	No
Compensatory Off	Comp-Off	1 day per weekend/holiday worked	Granted on approval	Must be used within 60 days	No
Leave Without Pay	LWP	Discretionary	Manager + HR approval required	N/A	N/A
Sabbatical Leave	SAB	Up to 90 days, after 3 years’ continuous service	HR + Department Head approval	N/A	N/A

Probationary employees accrue **Casual Leave and Sick Leave only**, at 1 day/month each, starting from the month of joining. Earned Leave accrual begins only after confirmation of employment.

Interns and Part-Time employees receive **1 day of Casual Leave per completed month** and are not eligible for Earned Leave, Maternity/Paternity Leave (interns), or Sabbatical Leave.

4. Leave Eligibility Calculation Rules

The following rules govern how remaining leave balance is calculated at any point in time:

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Remaining Balance (Leave Type X) =
   Opening Balance (1 Jan or Date of Joining)
 + Accrued Since Start of Year (per accrual method in Section 3)
 - Leave Taken (approved and completed)
 - Leave Pending Approval (reserved, not yet deducted from confirmed balance)
 - Leave Lapsed (per carry-forward cap)
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- **Earned Leave** accrues monthly on the 1st of each month, at 1.5 days per completed month of service in the current leave year (i.e., 18 days ÷ 12 months). An employee who joined on 15 March, for example, begins accruing from 1 April.
- **Half-day leave** is permitted for CL and SL only, in units of 0.5 days, and requires manager approval before 11:00 AM on the day of leave.
- Leave taken **before it has accrued** (negative balance) is permitted only for Earned Leave, up to a maximum of -5 days, subject to manager approval; this is termed "Leave in Advance."
- **Public holidays and weekly offs falling within an approved leave period are not deducted** from the leave balance.
- Leave requests spanning more than **10 consecutive working days** require Department Head approval in addition to the reporting manager.

5. Notice Period for Applying Leave

Leave Duration	Minimum Advance Notice
Half-day / 1 day	Same day, before 11:00 AM, if possible
2–5 days	3 working days
6–15 days	7 working days
More than 15 days	21 working days

Sick Leave of up to 2 days may be applied for retroactively (within 3 working days of return), with a self-certification. Sick Leave exceeding 3 consecutive days requires a medical certificate uploaded to NovaConnect.

6. Approval Workflow

1. Employee submits a leave request via NovaConnect or the HR Assistant, specifying leave type, dates, and reason (optional for CL/EL, mandatory for SL exceeding 2 days and for LWP).
2. Request routes to the direct reporting manager for approval/rejection within 2 working days.
3. Approved leave is deducted from the balance immediately upon approval (for future-dated leave) or upon submission (for same-day/retroactive Sick Leave).
4. Rejected requests return to the employee with a mandatory rejection reason.
5. Leave exceeding 10 working days additionally routes to the Department Head.
6. Maternity, Paternity, Sabbatical, and any leave request flagged as sensitive (see Section 9) are routed to HR directly, not solely the manager.

7. Cancellation and Modification of Leave

- Employees may cancel or modify an **approved but not-yet-started** leave request without additional approval, provided it is done at least 1 working day before the leave start date; the balance is restored automatically.
- Cancellation or modification of leave that has **already started** requires manager approval and HR notification, and any Compensatory Off or backfill arrangements made for the original leave must be reconciled manually by HR.
- Leave cannot be modified or cancelled retroactively more than 30 days after the leave end date.

8. Pro-Ration on Joining or Exit

- Employees joining mid-year receive Casual Leave and Sick Leave pro-rated by completed months remaining in the year (rounded up); Earned Leave accrues from the month following confirmation.
- On resignation or termination, unused Earned Leave (up to the entitlement cap) is encashed in the Full and Final Settlement at the employee's last drawn basic salary; Casual and Sick Leave are **not** encashed and lapse on the last working day.

9. Sensitive Leave Categories Requiring HR Escalation

The HR Assistant and HR systems must escalate the following to a human HR representative rather than auto-approving or auto-calculating:

- Any leave request citing mental health, harassment, workplace safety, or medical emergencies requiring accommodation
- Maternity/Paternity leave requests with complications or extensions beyond statutory entitlement
- Leave Without Pay exceeding 30 days
- Any request where the employee disputes their displayed leave balance

- Leave requests from employees currently under a Performance Improvement Plan (PIP) or active disciplinary process

10. Related Policies

See HR-POL-002 (Public Holiday Calendar), HR-POL-005 (Payroll and Compensation Policy, for encashment processing), and HR-POL-006 (Grievance and Escalation Policy).